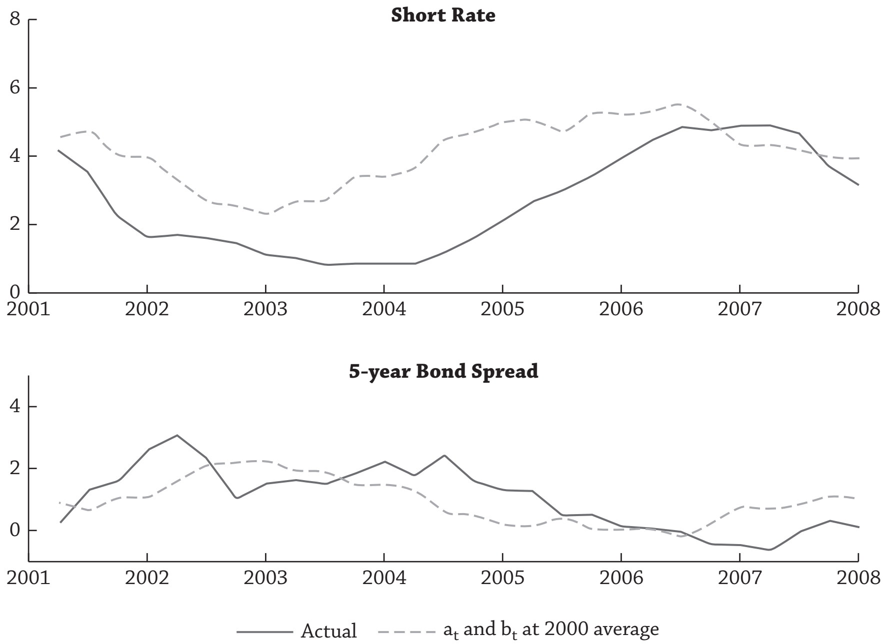

Figure 9.6

have been substantially higher if the Fed had not changed its inflation stance. For example, short rates reach 0.9% in June 2003, whereas at this time the short rate without any policy shifts would have been 2.7%. The bottom panel in Figure 9.6 plots the five-year bond spread, showing both the actual spread and the one predicted had the Fed not been so accommodating. They are very similar. Thus, the Greenspan put does not explain any part in the flattening of the yield curve in the early 2000s (the *Greenspan conundrum*).

The message for investors is that not only are macro risks, growth and inflation, important for bonds, but investors should take into consideration the actions of the Fed. Fed risk includes monetary policy shocks, which are deviations of Fed behavior from what would normally be expected of Fed policy with respect to output and inflation, and also changing policy stances, especially with regard to how the Fed responds to inflation risk.

2.5. NEW MONETARY POLICY

We live in the post-financial crisis world, and discussion of monetary policy risk for bond prices cannot be complete without discussing how an investor should react to the Fed's new unconventional monetary tools, which will in all likelihood become conventional. These programs have taken many forms in addition to quantitative easing and fall under an alphabet soup of acronyms, including the